



March 20, 2025

Representative Edgar González, Jr.
Chairperson of the Cybersecurity, Data Analytics,
& IT Committee
240-W Stratton Office Building
Springfield, IL 62706

Representative Daniel Didech
Vice-Chairperson of the Cybersecurity,
Data Analytics, & IT Committee
273-S Stratton Office Building
Springfield, IL 62706

Representative Jeff Keicher
Republican Spokesperson of the Cybersecurity,
Data Analytics, & IT Committee
203-N Stratton Office Building
Springfield, IL 62706

Representative Abdelnasser Rashid
266-S Stratton Office Building
Springfield, IL 62706

RE: Letter in Opposition to Illinois HB 3041

Dear Chairperson González, Vice-Chairperson Didech, Republican Spokesperson Keicher, and Representative Rashid:

On behalf of the advertising industry, we write to oppose Illinois HB 3041.¹ Our organizations support meaningful privacy protections for Illinoisans. As described in more detail below, the bill contains provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to harmonize HB 3041 with other state privacy laws like those in Iowa and Indiana. Accordingly, we ask you to decline to advance the bill as drafted out of the Cybersecurity, Data Analytics, & IT Committee (“Committee”) and to consider updates to enhance the bill to bring it in line with the majority of states that have passed privacy legislation.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over 262,955 jobs in Illinois are related to the ad-subsidized Internet.³ We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues with HB 3041 outlined here.

¹ Illinois HB 3041 (2025-26 Session), located [here](#) (hereinafter, “HB 3041”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 125-26.

I. HB 3041 Should Be Harmonized with Existing State Privacy Laws

HB 3041 is based on federal privacy legislation from 2024 that did not undergo a hearing or a markup after it was introduced. Instead of working from a privacy model that did not have success, Illinois should focus its efforts on harmonizing HB 3041 with the approach taken in a majority of other states. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. Below we provide a list of some ways HB 3041 deviates from the dominant approach to privacy across the states:

- HB 3041 would require a consumer's affirmative express consent to deliver targeted advertising to that consumer or to transfer personal data about a consumer to a third party, whereas other state laws permit consumers to opt out of targeted advertising and avoid such onerous limitations on third-party transfers.⁴
- HB 3041's definition of "sensitive data" includes data no other state considers sensitive.⁵
- HB 3041 would require a covered entity to disclose the names of specific "data brokers" to which the covered entity transfers data in the covered entities' privacy policy, a requirement that would add more bulk to privacy policies without providing meaningful benefits to consumers and institute a mandate that is not required by any other state privacy law.⁶
- HB 3041 would grant rulemaking authority to the Illinois Attorney General, creating the possibility for Illinois' privacy law to diverge even further from other states' laws.⁷

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁸ Another recent study found that a privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁹ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost

⁴ HB 3041 at § 40(b)-(c).

⁵ *Id.* at § 5.

⁶ *Id.* at § 30(a)(4).

⁷ *Id.* at § 85.

⁸ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

⁹ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

burden.¹⁰ Harmonization with existing privacy laws is essential to creating an environment where consumers in Illinois have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses, from hoteliers to retailers; publishers, from news organizations to business journals; ad agencies, from creative to media; and the companies who help them grow their businesses and attract new customers.

It is also important to also note the significant negative impact these kinds of legislative proposals have on nonprofits and small businesses, from mission-based organizations to family farms and start-ups in publishing and e-tailing.¹¹ As drafted, HB 3041 would not include a complete nonprofit exemption or sufficient exemptions or applicability thresholds to provide small businesses with relief. Reports have demonstrated how digital advertising helped save many small businesses during the recent pandemic.¹²

Illinois should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

II. HB 3041's Opt-In Requirements for Targeted Advertising and Third-Party Data Transfers, and Definition of Targeted Advertising, Would Affect Illinoisans' Access to Internet Resources and Businesses' Ability to Reach Customers

If enacted, HB 3041's proposed approach to "targeted advertising" would be out of step with all other state laws regulating this activity. The proposed bill would permit "targeted advertising" as one of its 17 permissible data processing purposes but would require opt-in consent before an entity would be permitted to engage in the activity.¹³ In addition, as noted in section III, while permitting targeted advertising, the bill would prohibit from use the type of data necessary to engage in this practice. HB 3041 would also require opt-in consent to transfer personal data to a third party.¹⁴ No other state that has enacted an omnibus consumer privacy law has adopted an opt-in approach for advertising and marketing activities or third-party transfers generally.

The data-driven and ad-supported online ecosystem benefits consumers and fuels economic growth and competition. Opt-in consent requirements for key advertising functionalities and routine data transfers limit entities' ability to use data responsibly to reach consumers with pertinent messaging and can have unintended consequences and ultimately serve

¹⁰ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

¹¹ See DAA, *Summit Snapshot 19:DC: Data4Good – Goodwill Leverages the Data Universe to Drive In-Store Shoppers* (Jul. 9, 2019), located [here](#); DAA, *Summit Snapshot: Data Drives Small- and Mid-sized Business Online, It's Imperative that Regulation not Short-Circuit Consumer Connections* (Aug. 17, 2021), located [here](#). DAA, *Summit Snapshot: Small Business Perspectives on Digital Advertising, Privacy Regulations, and Community Impact* (Oct. 29, 2024), located [here](#).

¹² See generally Deloitte LLP, *Digital Tools in Crisis and Recovery - Small and Medium Business Report* (Oct. 2020), located [here](#).

¹³ HB 3041 at § 40(c).

¹⁴ *Id.* § 40(b).

as a detriment to consumers' health and welfare. Opt-in consent requirements also tend to work to the advantage of large, entrenched market players at the expense of smaller businesses and start-up companies.¹⁵ In addition to undermining consumer benefits and market competition, these consent requirements would result in significant consent fatigue for consumers, especially given the volume of routine data transfers in which entities engage to deliver, secure, and improve their products, services, and messaging and the bill's broad definition of "targeted advertising."

HB 3041 would define "targeted advertising" in a way that would categorize *any online advertisement* delivered based on *any inference* as targeted advertising, subject to few exceptions.¹⁶ This definition is overly broad, diverges from the vast majority of states, and could result in requiring consumer consent for nearly any form of data-driven advertising. If HB 3041 is enacted, Illinois businesses would be significantly hindered in their efforts to reach potential consumers, and Illinoisans would become subject to entirely different Internet experiences than residents of neighboring states, such as Iowa and Kentucky.

In addition, although the bill defines and permits "first party advertising or marketing," it defines it very narrowly.¹⁷ The categorization of first-party advertising and marketing practices would result in preventing even the most basic of data enhancements to first-party data, such as limiting businesses from correcting postal addresses that businesses have directly collected from consumers for mailers, thus impacting direct marketing efforts. Enhancement of first-party data is often essential for ensuring accuracy, reducing errors, and improving the effectiveness of advertising campaigns. Without the ability to enhance first-party data, businesses (and particularly small businesses) may face increased costs and inefficiencies, leading to less effective marketing efforts and increased costs for consumers. HB 3041's definition of "targeted advertising" and opt-in approach to the activity, as well as its opt-in requirement for third party data transfers, should be amended so the bill better aligns with other state privacy laws.

III. Online Activity Data Should Be Allowed for Use in Targeted Advertising and First-Party Advertising

HB 3041 proposes a novel definition of "sensitive covered data" that includes online activity data, or information about an individual's online activities over time and across third-party websites or online services.¹⁸ The bill would strictly prohibit using sensitive covered data, including online activity data, unless "strictly necessary" for providing or maintaining a consumer-requested product or service or for certain other permitted purposes that exclude targeted advertising or first-party advertising or marketing.¹⁹ This approach fails to recognize that online activity data is necessary for targeted advertising. Thus, while the bill would permit targeted advertising subject to a consumer's opt-in consent, as noted in Section II above, but it would ban the use of the very data that drives targeted advertising. By banning the use of online

¹⁵ Kate Fazzini, *Europe's sweeping privacy rule was supposed to change the internet, but so far it's mostly created frustration for users, companies, and regulators*, CNBC (May 5, 2019), located [here](#).

¹⁶ *Id.* at § 5.

¹⁷ *Id.*

¹⁸ *Id.*

¹⁹ *Id.* at § 15(2).

activity data for targeted advertising while simultaneously permitting targeted advertising subject to a consumer's affirmative express consent, the bill proposes a confusing approach to targeted advertising that would have a chilling effect on commerce. No other state that has enacted an omnibus privacy law has taken this approach.

Online activity data should not be considered sensitive when used for an advertising purpose. Use of online activity data to deliver targeted advertising and first-party advertising is permitted on an opt-out basis in virtually every other state's privacy law. Furthermore, the use of data to deliver truthful, relevant advertising is protected by the First Amendment. The First Amendment protects both businesses in their right to free expression and individuals in their right to receive accurate information through advertising.²⁰ Illinois should not advance an approach to privacy that may run afoul of bedrock constitutional protections when other workable approaches to governing sensitive data processing are used across several states.

IV. Overly Restrictive Limitations on Data Collection and Processing Would Stifle the Economy

HB 3041 includes data minimization terms that would permit collection and processing of personal data only if reasonably necessary and proportionate "to provide or maintain... a specific product or service requested by the individual to whom the data pertains" or for the bill's finite list of prescribed permitted purposes.²¹ This overly restrictive limitation on personal data processing would impede business' ability to process data for the benefit of consumers and to enrich the availability of goods and services in the economy. The proposed data minimization term could impose significant limitations on the availability of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, creating cost-effective and efficient services, and combatting fraud.

For example, the term would functionally prohibit the collection of personal data to develop new and innovative offerings unrelated to requested products, or to improve existing offerings, because covered entities would be prohibited from collecting data outside of the context of providing a specific product or service requested by the consumer. The term would also hinder businesses from cross-selling products and services to their own customer base because collection of data for such a purpose would not necessarily be tied to a product or service the customer already knew about or requested specifically. The term could also impede the general availability of personal data for prospecting, *i.e.*, taking steps to find new customers who may be interested in a business's products or services. In addition, the proposed term would severely inhibit third-party data sources from collecting personal data to further vital consumer fraud prevention efforts. As a result of this data minimization term, third-party fraud prevention services may be forced to refrain from collecting and making data available that Illinois businesses rely on to prevent fraud, thereby making Illinoisans more susceptible to identity theft and other negative outcomes.

²⁰ *Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 756-67 (1976); *Sorrell et. Al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

²¹ HB 3041 at § 10(a).

The vast majority of states that have passed a data privacy law permit businesses to collect and process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal data was collected, as disclosed to the consumer.²² HB 3041 would contradict this reasonable, majority approach, thereby subjecting Illinois consumers to fewer benefits of data processing than their counterparts in nearby states and other parts of the country. Illinois should take steps to align HB 3041's data minimization terms with other states instead of adopting an onerous and untested approach to data collection and processing that could disadvantage Illinois consumers and businesses.

V. HB 3041's Requirement to Disclose Names of Specific Third-Party Partners Would Interfere with Legitimate Business and Create Competition Concerns

HB 3041 diverges from nearly all state privacy laws by requiring covered entities to disclose "the names of any such third party . . . to whom the covered entity has transferred for consideration the covered data of the individual" upon a consumer's request.²³ The vast majority of other states that have enacted privacy laws do not include this impractical and duplicative requirement. Instead, most other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves.²⁴

Requiring documentation or disclosure of the names of entities would be operationally burdensome, as covered entities change business partners frequently, and companies regularly merge with others and change names. For instance, a covered entity may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. This requirement would either force the covered entity to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated or risk violating the law. This is an unreasonable restraint.

From an operational standpoint, constantly updating a list of all third-party partners a covered entity works with would take significant resources and time away from efforts to comply with other new privacy directives in HB 3041. The bill's requirement for this list of names to be specific to the individual further exacerbates this operational burden. Consequently, covered entities may be forced to jeopardize new business opportunities and relationships just to compile, maintain, update, and distribute these ephemeral lists.

International privacy standards like the European Union's General Data Protection Regulation ("GDPR") also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors.

²² See, e.g., Cal. Civ. Code § 1798.100(c); Va. Code Ann. § 59.1-578(1).

²³ HB 3041 at § 35(a)(1)(B).

²⁴ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a); Conn. Gen. Stat. § 42-520(c)(5); Utah Rev. Stat. § 16-61-302(1)(a).

Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a covered entity discloses data would be minimal at best. The benefit would be especially insignificant given HB 3041 already requires covered entities to disclose *categories* of third-party partners in privacy notices for consumers.²⁵ For these reasons, we encourage the Committee to strike the onerous language requiring disclosure of a list of specific third parties, which severely diverges from the approach to disclosures taken in almost all existing state privacy laws. To align HB 3041 with other state privacy laws, the bill should require disclosure of the categories of third parties rather than the names of such third parties themselves.

VI. HB 3041 Contains Ambiguous Anti-Discrimination Terms

HB 3041's ambiguous requirement to ensure personal data is not processed in a manner that would make unavailable the "equal enjoyment" of goods or services could result in flatly outlawing advertisements and messaging to specific communities.²⁶ For example, the provision could outlaw advertisements based on gender to connect individuals with clothing that matches their interests. The provision could also impede legitimate anti-discrimination efforts in Illinois by banning entities from purposefully reaching out to particular constituencies and communities with relevant and helpful messaging. Similar to other enacted state laws, anti-discrimination provisions should prohibit the processing of personal data in ways that violate state or federal laws against unlawful discrimination.²⁷

VII. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, HB 3041 permits private litigants to bring lawsuits.²⁸ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Illinois residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in HB 3041 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood Illinois's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively

²⁵ *Id.* at § 30(a)(4).

²⁶ *Id.* at § 50.

²⁷ *See, e.g.,* Va. Code Ann. § 59.1-578(A)(4); Colo. Rev. Stat. § 6-1-1308(6); Conn. Gen. Stat. § 42-520(a)(5).

²⁸ HB 3041 at § 80(a).

address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.²⁹

Beyond the staggering cost to Illinois businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the inclusion of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to update HB 3041 to remove the private right of action and to vest sole enforcement authority in the AG.

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²⁹ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that HB 3041 would impose particularly onerous requirements that would unreasonably restrict the free flow of information that powers the economy and Illinois residents' access to resources. We therefore respectfully ask the Committee to decline to advance HB 3041 as proposed and would welcome the opportunity to engage further and work with you to craft a workable privacy framework that benefits Illinois businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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